Reconstructed from supplied source text, not the original financial statement.

HALVORSEN MARINE SUPPLY, LLC AND SUBSIDIARY

Consolidated Financial Statements

for the fiscal year ended June 30, 2025

with Independent Auditor's Report

Reconstructed from supplied source text, not the original financial statement.

INDEPENDENT AUDITOR'S REPORT

To the Members of Halvorsen Marine Supply, LLC

Opinion: We have audited the accompanying consolidated financial statements... In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company as of June 30, 2025...

An ellipsis (...) marks words left out of the supplied source text. They were not supplied and are not reconstructed.

Reconstructed from supplied source text, not the original financial statement.

CONSOLIDATED STATEMENT OF OPERATIONS

(in thousands of U.S. dollars)

Net sales	48,213
Cost of goods sold	36,904
Gross profit	**11,309**
Selling, general and administrative	6,429
Operating income	**4,880**
Interest expense	1,512
Income before taxes	**3,368**
Income tax expense	1,464
Net income	**1,904**
Supplemental (non-GAAP):	
Adjusted EBITDA (see Note 7)	6,120

Reconstructed from supplied source text, not the original financial statement.

CONSOLIDATED BALANCE SHEET

(in thousands of U.S. dollars)

Cash and equivalents	3,215
Accounts receivable, net	7,842
Inventory	12,906
Total current assets	**24,388**
... Lines not included in the supplied source text.	
Current portion of long-term debt	3,250
Total long-term debt	**21,500**
Total members' equity	**18,077**

NOTE 7 — ADJUSTED EBITDA

Adjusted EBITDA is a non-GAAP measure defined as operating income plus depreciation and amortization (1,034), plus one-time restructuring costs (206). Management believes this measure... EBITDA as defined under the Credit Agreement excludes restructuring add-backs and was 5,914 for the year.

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NOTE 8 — DEBT AND COVENANTS

(in thousands of U.S. dollars)

Term loan	18,000
Revolving line of credit	6,750
Total debt, including current portion	**24,750**
Scheduled principal and interest payments, next twelve months	4,310

The Company is required to maintain a minimum fixed charge coverage ratio of 1.25 to 1.00... As of June 30, 2025, the Company was in compliance with all covenants, except as described in Note 9, for which the lender granted a waiver dated August 4, 2025.

NOTE 9 — SUBSEQUENT EVENTS

In Q4 the Company did not meet the minimum fixed charge coverage ratio. The lender waived this event of default on August 4, 2025.

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